

xAI: The Blurry Boundary Between Founder Ideology and Corporate Ethics

AcF 318 Project Proposal

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Proposal Plan

1 **Topic of Study**
Founder-Firm Integration

2 **Rationale**
Why This Matters

3 **Proposed Evidence**
*+ Data Sources*¹²

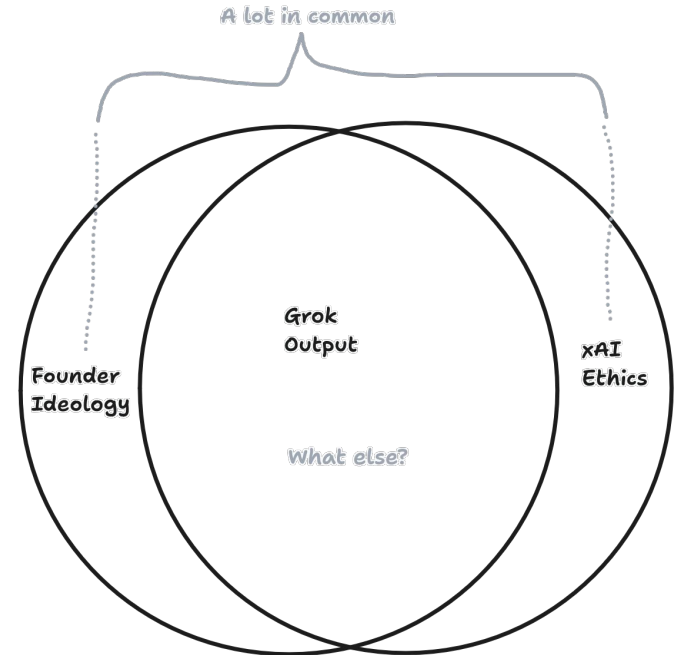
4 **Framework 1**
*Agency Theory + Corporate Governance*³

5 **Framework 2**
*Stakeholder Salience Model*⁴

6 **References**

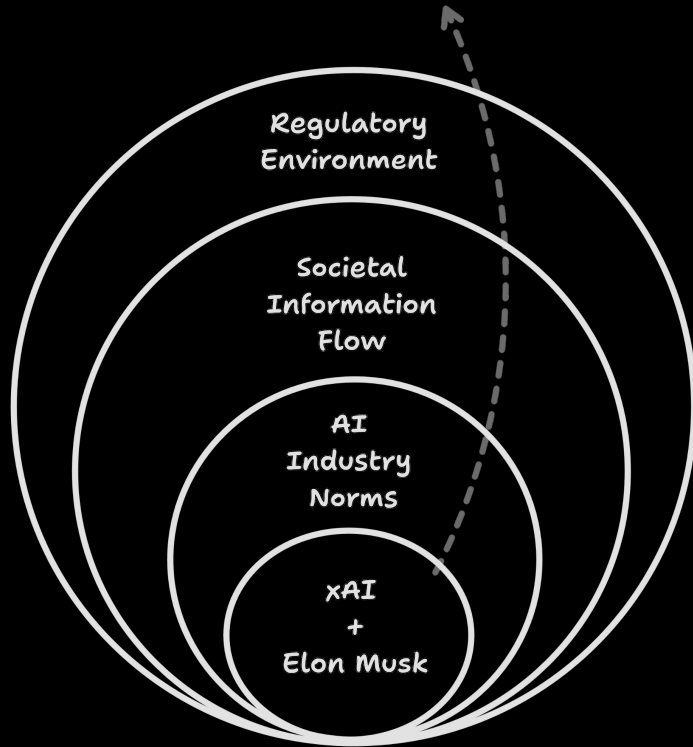
Topic of Study

This report will investigate the ethical dynamic between xAI and the companies' founder and CEO, Elon Musk. The specific focus will be on the **blurred boundary** between **personal founder ideology** and **corporate ethical positioning**. The study will 'zoom in' on how wrapping up personal ethics with a firm collapses the **traditional separation of ownership and control**- and how this governance structure allows the founder's ethical compass to fundamentally dictate product output (e.g. content moderation guidelines on X, Grok AI parameters).



Founder-Firm Integration

Rationale (*Why This Matters*)

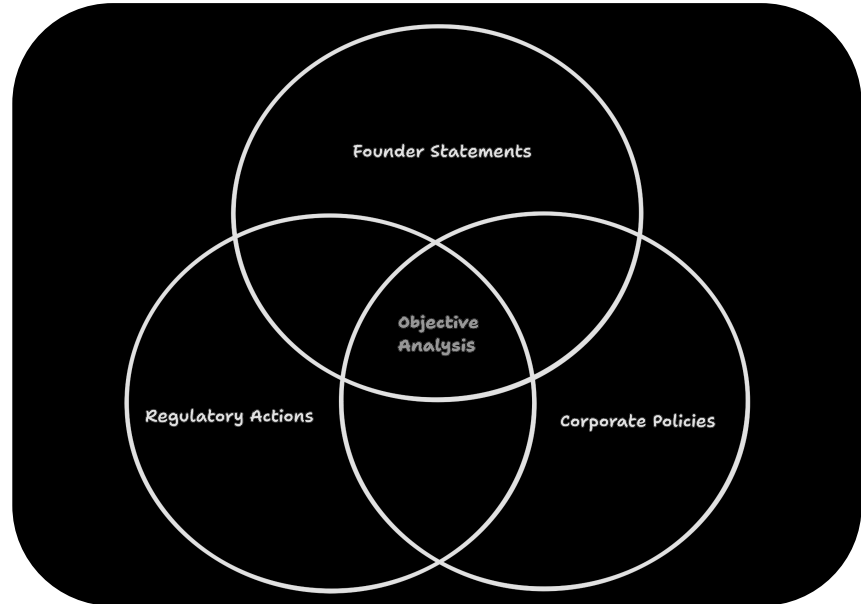


Societal Ripple Effects

This topic has **ripple effects** that spread across to many facets of society, and its' impacts are significant in the current **socio-economic environment**. As AI systems become central to the global flow of information, **ethical guardrails** will become under heavier scrutiny, and the **regulatory environment** will also respond. **What are the consequences** of the actions of a company who's ethical **accountability** is very closely tied with a single individual's ideology?

Proposed Evidence + Data Sources (Methodology)

To ensure an objective analysis, this report will **triangulate multiple data points** rather than relying on a single subjective source. This will provide four different key pieces of information on the situation from **various perspectives**, and these varying perspectives will be analysed and contrasted against each other. **2 pieces of evidence** and **2 sources** will be chosen to investigate as a starting point.



Data Source Triangulation

Evidence + Source List

*A selection of key pieces of news and information +
sources relevant to the investigation*

Evidence 1

Grok's Content Moderation Parameters:

Analysing the motives behind the lack of traditional content moderation guardrails, compared to other social media platforms, that allowed the recent, large-scale generation of unfiltered imagery.

Evidence 2

Lack of Board of Directors:

xAI operates under a highly concentrated organisational hierarchy, with no publicly disclosed independent board of directors.

Source 1

Internal Corporate Documents¹:

X's official Acceptable Use Policy and Terms of Service, directly contrasted with the founder's public social media statements regarding absolute free speech.

Source 2

Regulatory Action Reports²:

Official 2026 formal investigation notices from Ofcom and the European Commission regarding xAI's systemic risks under the Digital Services Act.

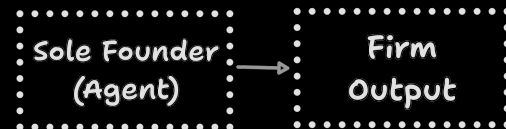
Framework 1: Agency Theory + Corporate Governance³

Musk is both the principal and the agent of xAI; introducing the **Agency Theory** problem. Because CEOs may act on their own **agendas** instead of the company's best interest, **Corporate Governance** (like a Board of Directors) exists to monitor them and keep them ethical. This case is an example of how bypassing such guidelines can create a shortcut in the **corporate governance pipeline**, where a single person's ideology can immediately become the ethical output of a product used by billions globally. This framework will be used to measure the **extent** of this consequence.

Traditional Firm

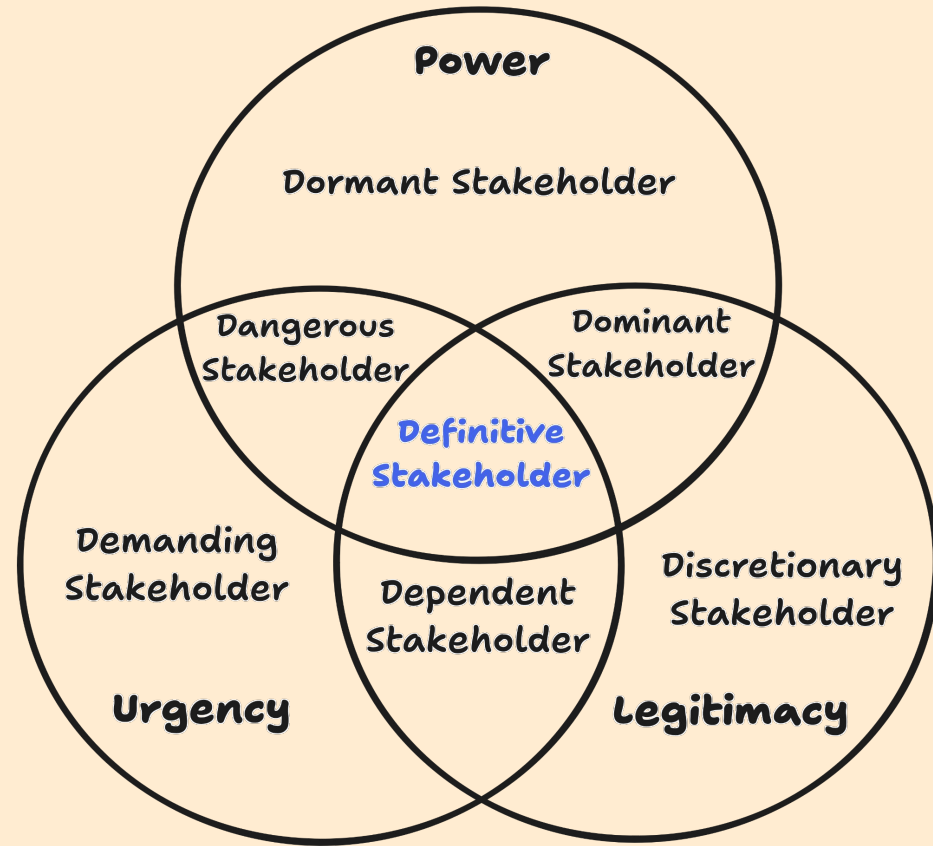


xAI Model



Framework 2: 'Stakeholder Salience' Model⁴

This model will be used to analyse and map Musk's own **stakeholder status**- as well as to **categorise** how xAI prioritises different groups of stakeholders, and subsequent responsiveness to their demands. The model will help investigate the **concentration of power** within the firm, by applying it across members at the top of the **organisational hierarchy**, and comparing the **salience** of the most 'powerful' and 'legitimate' stakeholders of the company.



References

- ¹ **xAI. (2025).** *Terms of Service and Acceptable Use Policy*. Retrieved from <https://x.ai/legal/terms-of-service>
- ² **European Commission. (2023, December 18).** *Commission opens formal proceedings against X under the Digital Services Act [Press Release]*. Retrieved from <https://digital-strategy.ec.europa.eu/en/news/commission-opens-formal-proceedings-against-x-under-digital-services-act>
- ³ **Jensen, M. C., & Meckling, W. H. (1976).** *Theory of the firm: Managerial behavior, agency costs and ownership structure*. *Journal of Financial Economics*, 3(4), 305-360.
- ⁴ **Mitchell, R. K., Agle, B. R., & Wood, D. J. (1997).** *Toward a Theory of Stakeholder Identification and Salience: Defining the Principle of Who and What Really Counts*. *Academy of Management Review*, 22(4), 853-886.